22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year. The average annual tax rate expected as of September 30, 2021 to be effective for the year ended December 31, 2021 is 25.4%.

23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and nine-month periods ended September 30, 2021 and 2020 are calculated as follows:

(1) Ordinary shares

	September 30, 2021		September 30, 2020	
(In millions of Korean won, thousands of number of shares)	**3 Months**	**9 months**	**3 Months**	**9 months**
Profit for the period attributable to owners of the parent company	12,057,207	28,600,669	9,266,814	19,645,377
Profit for the period available for ordinary shares	10,596,557	25,135,888	8,144,201	17,265,470
Weighted-average number of ordinary shares outstanding	5,969,783	5,969,783	5,969,783	5,969,783
Basic earnings per ordinary share *(in Korean won)*	1,776	4,211	1,364	2,892

(2) Preference shares

	September 30, 2021		September 30, 2020	
(In millions of Korean won, thousands of number of shares)	**3 Months**	**9 months**	**3 Months**	**9 months**
Profit for the period attributable to owners of the parent company	12,057,207	28,600,669	9,266,814	19,645,377
Profit for the period available for preference shares	1,460,650	3,464,781	1,122,613	2,379,907
Weighted-average number of preference shares outstanding	822,887	822,887	822,887	822,887
Basic earnings per preference share *(in Korean won)*	1,776	4,211	1,364	2,892

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three and nine-month periods ended September 30, 2021 and 2020.

24. Statements of Cash Flows

The Company used the indirect method to present cash flows from operating activities. Adjustments and changes in assets and liabilities arising from operating activities for the nine-month periods ended September 30, 2021 and 2020 are as follows:

- Adjustments

(In millions of Korean won)	**2021**	**2020**
Adjustments:		
Income tax expense	9,919,442	7,569,953
Financial income	(2,208,660)	(2,857,929)
Financial expenses	1,824,505	1,859,118
Post-employment benefits	1,009,111	939,597
Depreciation	22,420,639	20,034,922
Amortization	2,224,890	2,424,446
Bad debt expenses	4,864	61,073
Dividend income	(98,738)	(112,549)
Share of profit of associates and joint ventures	(600,752)	(372,451)
Gain on disposal of property, plant and equipment	(319,620)	(114,031)
Loss on disposal of property, plant and equipment	69,596	119,803
Loss on valuation of inventories	1,264,259	1,183,776
Others	(205,004)	703,343
Total	35,304,532	31,439,071

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	**2021**	**2020**
Changes in assets and liabilities:		
Decrease (increase) in trade receivables	(8,635,783)	(5,877,533)
Decrease (increase) in other receivables	(280,576)	657,998
Decrease (increase) in prepaid expenses	(601,768)	(447,365)
Decrease (increase) in inventories	(5,668,287)	(7,302,182)
Increase (decrease) in trade payables	1,421,342	3,355,220
Increase (decrease) in other payables	143,310	93,851
Increase (decrease) in advances received	(59,086)	76,151
Increase (decrease) in withholdings	(19,242)	34,960
Increase (decrease) in accrued expenses	439,807	2,601,050
Increase (decrease) in provisions	1,382,851	771,434
Payment of post-employment benefits	(373,902)	(424,665)
Other	(1,458,869)	(1,960,687)
Total	(13,710,203)	(8,421,768)

For the nine-month periods ended September 30, 2021 and 2020, cash outflows from principal repayment (financial activities) amount to ₩ 622,115 million and ₩ 631,742 million, respectively, and cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 86,129 million and ₩ 83,720 million, respectively.